EXECUTIVE SUMMARY

I. Introduction

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA", which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Piat (LGU Piat) for CY 2023 and was aimed at determining whether management presented fairly the financial statements of the LGU in adherence to the generally accepted accounting principles, whether prevailing laws, rules and regulations have been complied with and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position and the results of operations, of the LGU Piat for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Accounts	2023	2022	Increase (Decrease)
Financial Position			
Total Assets	P 407,526,968.97	P 315,079,984.25	P 92,446,984.72
Liabilities	P 144,191,481.36	P 71,576,134.95	P 72,615,346.41
Total Government Equity	P 263,335,487.61	P 243,503,849.30	P 19,831,638.31

Results of Operations			
Total Income	P 148,284,869.78	P 172,919,015.89	P (24,634,146.11)
Total Expenses	P 124,193,154.50	P 144,080,365.28	P (19,887,210.78)
Net Income	P 24,091,715.28	P 28,838,650.61	P (4,746,935.33)

IV. Operational Highlights

The LGU Piat is headed by the Municipal Mayor, Honorable Leonel C. Guzman, and Vice-Mayor, Honorable Reymundo Villacete III. For CY 2023, the LGU had a total of 157 personnel complement, with 83 permanent, 12 elective, 3 co-terminus, 1 casual employee and 58 job order status.

The following infrastructure projects of the LGU Piat were completed in CY 2023:

Projects	**Location**	**Total Cost Incurred**
Construction of Drainage Canal	Sto. Domingo, Piat	P 3,899,202.66
Concreting of Road	Maguilling, Piat	258,511.12
Completion of Commercial Building	Maguilling, Piat	6,095,166.35
Repair and Improvement of Legislative Building	Poblacion 2, Piat	999,049.00
Concreting of Farm to Market Road	Aquib, Piat	923,687.00
Total		**P 12,175,616.13**

For social services, the following are some of the programs/projects/activities (PPAs) implemented by the LGU Piat for CY 2023:

PPAs	**No. of beneficiaries**	**Amount**
Self-employment Assistance (SEA)	34	P 260,500.00
Supplemental Feeding	467	771,744.76
Day Care Services	485	688,000.00
Provision of financial assistance to PWDs	333	499,500.00
Aid to Individual/family in Crisis Situation	888	2,304,000.00
Educational Assistance	2,178	8,712,000.00
Financial Assistance to Balik-Probinsya, Bagong Pag-asa Program	39	5,550,000.00
Sustainable Livelihood Program	299	3,985,000.00
Social Pension for Indigent Senior Citizen	2,314	13,884,000.00
Cash for Work Program	443	1,661,250.00

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fair presentation of the financial statements of the LGU Piat for the year-ended December 31, 2023, due to: *(a) erroneous recording of share from the collection of tobacco excise taxes resulting in the overstatement of Trust Liabilities account and understatement of the Government Equity by the same amount of P31,977,978.32; (b) understatement of the accounts Due to NGAs and Due to LGUs due to erroneous recording of utilization of fund transfers; (c) non-reclassification of completed projects to appropriate PPE accounts resulting in the overstatement of the Construction in Progress-Infrastructure Asset and Construction in Progress-Buildings and other Structures accounts by P854,725.07 and P542,971.36, respectively, and (d) understated balance of Guaranty/Security Deposits Payable due to erroneous accounting for retention monies withheld from suppliers/contractors.*

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2023 other than the bases for the modified opinion that needs immediate attention and action by the LGU Piat are as follows:

1. **Fund transfers received by the LGU Piat from different National Government Agencies (NGAs) and other Local Government Units (LGUs), totaling to P8.593 million remained unliquidated as at year-end, despite the fulfillment of its purpose. Moreover, unutilized balance totaling P0.378 million were not returned to the Source Agencies (SA).**

   We recommended that Management expedite the preparation of the liquidation reports and immediately submit the same to the Source Agencies and cause the return of the unutilized balances of the fund to prevent possible misuse in compliance with COA Circular No. 94-013.

2. **The Local Disaster Risk Reduction and Management (LDRRM)-Mitigation Fund for CY 2023 amounting to P5.028 million was not optimally utilized and only the amount of P1.429 million or 28.42 percent of such fund was expended.**

   We recommended that Management, through the MDRRMO together with the concerned implementing offices, enforce the full implementation of the unimplemented projects, programs and activities (PPAs), to fully support the objectives of the disaster risk management activities of the LDRRM Council.

3. **The Municipality was not able to implement 29 PPAs with a total appropriation of P30.4 million, funded under the 20% Development Fund (DF) of the LGU as at year-end.**

We recommended that Management:

a) ensure that all identified development projects embodied in the Annual Investment Program are supported with concrete plans and designs, without any hindering issues and procurement-and-implementation-ready, including conduct of detailed engineering for infrastructure projects, in order to complete them within the target completion date to maximize the benefit for its intended beneficiaries;

b) prepare a holistic and comprehensive but realistic catch-up plan, after conducting proper monitoring and follow-up activities, to expedite the project implementation of PPAs funded especially from prior years' appropriation, which are still at the agency pipeline, to reduce backlogs; and

c) consider the need for reprogramming of the PPAs from prior years' appropriations, where necessary, after determination of a more relevant and responsive and procurement-and-implementation-ready projects that may be included under the 20% Development Fund of the Municipality in adherence with applicable laws, rules and regulations.

4. Appropriation under the 20% Development Fund includes a lumpsum or generic term of projects totaling to P4.92 million without specific/itemized details.

We recommended that the Management endeavor to:

a. require the Municipal Development Council to specify the details of the identified priority projects to be charged under the 20% Development Fund in the total amount of P4,919,886.00, including project location, specific implementation schedule, and physical target.

b. in the event that specific/itemized details of the project could not be identified during the budget preparation, seek the approval of the Sanggunian before the implementation of a specific project.

VII. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance January 1, 2023	Issued During the Year	Settlement During the Year	Ending Balance, December 31, 2023	% of Settlement
Suspensions					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	0.00%

Particulars	Beginning Balance January 1, 2023	Issued During the Year	Settlement During the Year	Ending Balance, December 31, 2023	% of Settlement
Disallowances					
Prior Years	1,397,303.29	-	500,000.00	897,303.29	35.78%
Current Year	-	-	-	-	0.00%
Total	**1,397,303.29**	-	**500,000.00**	**897,303.29**	35.78%
Charges					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	0.00%

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2022 Annual Audit Report are summarized as follows:

Implemented		6
Not Implemented	4	
Not Implemented and Reiterated in CY 2023 AAR	5	9
Total		**15**